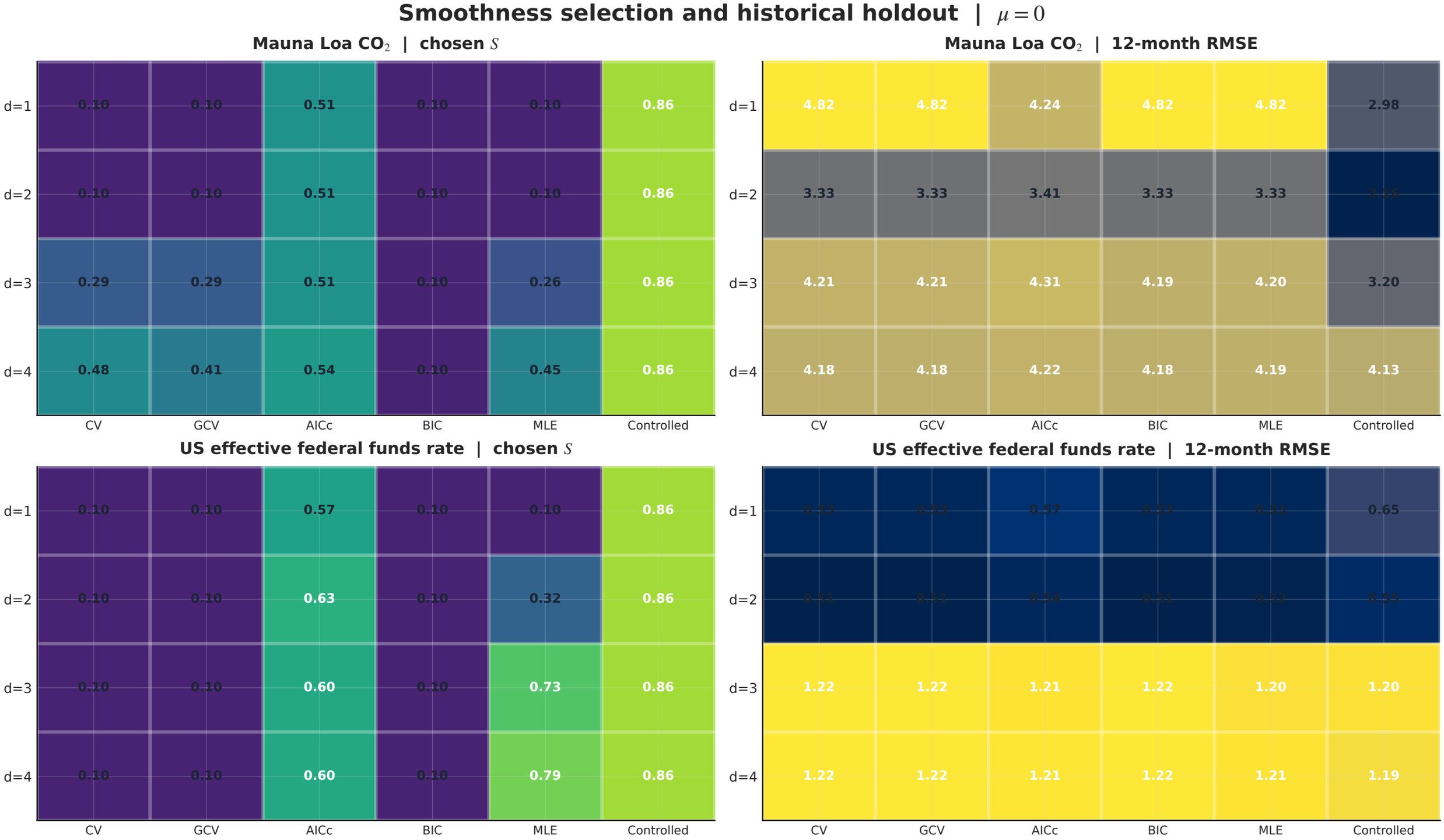
Smoothness selection and historical holdout | $\mu = 0$
Mauna Loa CO_2 | chosen S
d=1 0.10 0.10 0.51 0.10 0.10 0.86
d=2 0.10 0.10 0.51 0.10 0.10 0.86
d=3 0.29 0.29 0.51 0.10 0.26 0.86
d=4 0.48 0.41 0.54 0.10 0.45 0.86
CV GCV AICc BIC MLE Controlled
Mauna Loa CO_2 | 12-month RMSE
d=1 4.82 4.82 4.24 4.82 4.82 2.98
d=2 3.33 3.33 3.41 3.33 3.33 2.16
d=3 4.21 4.21 4.31 4.19 4.20 3.20
d=4 4.18 4.18 4.22 4.18 4.19 4.13
CV GCV AICc BIC MLE Controlled
US effective federal funds rate | chosen S
d=1 0.10 0.10 0.57 0.10 0.10 0.86
d=2 0.10 0.10 0.63 0.10 0.32 0.86
d=3 0.10 0.10 0.60 0.10 0.73 0.86
d=4 0.10 0.10 0.60 0.10 0.79 0.86
CV GCV AICc BIC MLE Controlled
US effective federal funds rate | 12-month RMSE
d=1 0.53 0.53 0.57 0.53 0.53 0.65
d=2 0.51 0.51 0.54 0.51 0.52 0.55
d=3 1.22 1.22 1.21 1.22 1.20 1.20
d=4 1.22 1.22 1.21 1.22 1.21 1.19
CV GCV AICc BIC MLE Controlled
Columns: four in-sample criteria, conditional Gaussian MLE, and user-prescribed S=0.86. Historical RMSE: one origin only.